



Recession and the money supply

The way money is used in an economy will change depending on how well or badly that economy is performing. In a recession, the money supply is restricted, which affects the whole economy.

Recessionary cycle

Everything in the economy is linked to everything else through buying and selling, so it is possible for an economic downturn to lead to an ongoing pattern of decline—known as a recessionary cycle. Once a few households or firms (or the government) begin to cut their spending, other firms will start to sell less. In turn, they will want to reduce the amount they are spending on labor, or raw materials, to limit the impact of falling sales. They may also put off making longer-term investment decisions as profits are uncertain, meaning that they contribute even less money to the economy. This can add up to a powerful negative cycle.

If the money supply slows, the wheels of the economy turn more slowly, further restricting the movement of money around the economy, which creates a recessionary cycle.



Consumers have less money to spend. They feel less confident about the future, and so may try to save more and spend less.



In response to decreased demand, producers cut wages and hours, lay off workers, and buy fewer raw materials.



Investors fear that company profits, and the value of stocks, will decrease, and are less willing to invest in new companies.

THE CREDIT CRUNCH

In the early 2000s, banks and other financial institutions began lending money on a very large scale. Regulations were loosened and low interest rates encouraged borrowing. The US and UK were especially affected, with easily available credit encouraging spending by consumers and causing rapid economic growth. However, the very large amount of lending by banks meant that some loans were going to riskier borrowers. In the US, this took the

form of “subprime mortgages,” where people who were denied a conventional mortgage by banks were loaned money by “subprime lenders.” When a number of these borrowers were unable to repay their loans, the whole system was at risk. Financial institutions stopped lending to each other, and consumer lending dried up in the “credit crunch” of 2008. As money was harder to get hold of, spending slowed and the global economy fell into a recession.